NEXORA INDUSTRIES

Delegation of Authority for Purchasing

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Owner: Chief Financial Officer | Classification: Internal
Nexora Industries is a fictional company. This synthetic document was created for a portfolio demonstration and does not describe a real organisation.

1. Purpose

This document defines who can approve purchase requisitions, purchase orders and contracts at Nexora Industries. Approval limits apply to the total commitment excluding VAT over the full contract duration, including options and renewals.

2. Approval matrix

Total commitment (excluding VAT)	Required approvers
Below €10,000	Budget owner (department manager)
€10,000 to €49,999	Budget owner and Plant Controller
€50,000 to €249,999	Site Director and Category Manager
€250,000 to €999,999	Chief Procurement Officer (CPO) and Chief Financial Officer (CFO)
€1,000,000 and above	Chief Executive Officer (CEO), after approval by the CPO and the CFO

Commitments of €5,000,000 and above also require the approval of the Board. Only the approvers of the band that matches the total commitment are required, and the ERP workflow routes the request to them in the order shown in the table.

3. Capital expenditure

Purchases of machinery, equipment, tooling and other capital assets require an approved capital expenditure (CapEx) request from the Investment Committee before the purchase requisition is created, in addition to the approval matrix. The PO value may not exceed the approved CapEx amount by more than 10% without a new CapEx approval.

4. Contract amendments and price changes

A contract amendment is approved according to the cumulative value of the contract after the amendment, not the value of the amendment alone. A price change is approved with the matrix of section 2 applied to its annual financial impact: for example, a price increase that adds €60,000 per year is approved by the Site Director and the Category Manager.

5. Rules for approvers

- No self-approval: an employee may never approve a requisition they created or a purchase from which they benefit personally.
- Approvers check budget availability, the business need and compliance with the sourcing thresholds of NX-PUR-001.

- Approvals must be given in the ERP workflow. Email approvals are only valid during an ERP outage and must be recorded in the ERP within 5 business days.

6. Delegation during absence

An approver may delegate their approval authority during an absence by using the ERP substitute function, for a maximum of 30 calendar days and only to a person at the same or a higher level. Delegation to a subordinate is not permitted.

7. Document history

Version 2.0 replaces version 1.0 of 1 March 2023, which is withdrawn. Main changes: new approval bands, approval by the Category Manager from €50,000, and Board approval for commitments of €5,000,000 and above.